

CHALLENGES AHEAD

- The merger of the HDFC twins brings the mortgage business to the banking platform, spurring competition in home loans
- Raising low-cost CASA deposits is necessary to remain competitive and to increase net interest margins
- High growth in unsecured loans, especially personal loans, will slow down because of RBI's decision to raise risk weights
- The share of vehicle loans, rural and SMEs in the loan mix has remained constant in the past five years

BUILDING ON SUCCESS

- Use its development finance institution and corporate banking strengths to play a bigger role in infrastructure financing
- Optimise rural and semi-urban branches to get a higher share in assets
- Get a larger share of best-rated corporates on its books, as this is a low-yield business, but offers scope to increase share of fee-based income
- Broad-base and scale up retail loans in newer areas like consumer durables financing and micro loans

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economy,” says Banerjee.

And in keeping with the broader trends in the economy, the bank's retail business has been growing around 20%, while corporate banking has been growing in the low teens. SME and commercial banking have been growing closer to 30%.

Besides, over the past five years, the retail mix has increased significantly, from 48.4% to 54.3% of total loans. This surge

in retail share has come even as the share of domestic corporate loans has marginally decreased from 23.9% to 21.7% during the period.

Within retail, personal loans and credit cards have led the way, with their portion of the loan mix almost doubling since March 2019. Personal loans constituted 9.4% of total loans, while credit card loans stood at 4.1% as of December 2023. The secured mortgages, commanding a substantial share of

32.5%, have grown from 30.4%.

With the increase in risk weights expected to impact the retail segments, the bank is trimming and calibrating growth rates. It is closely analysing risky geographies, categories of loans, as well as increasing pricing and reducing sourcing payouts to distributors. As a result, the growth rate in the unsecured component is likely to moderate. But there is some comfort on the credit card front. Here, there are fewer providers of scale. So, customers have few options.

The personal loans market is very competitive anyway, with the entry of public sector banks, especially the State Bank of India. Currently, interest rates for mortgages or home loans are around 8.75%, while personal loans are offered at around 11%. Over the years, this difference in interest rates between secured home loans and unsecured personal loans has diminished because of intense competition with NBFCs and fintech firms entering the

TOP 5 LARGE INDIAN BANKS

RANK	BANKS	TOTAL ASSETS	NET NPA (%)	COST TO INCOME RATIO	ROCE (%)	CAPITAL ADEQUACY (%)
1	ICICI Bank	15.84	0.51	0.40	17.18%	18.34%
2	HDFC Bank	24.66	0.27	0.40	16.96%	19.26%
3	Bank of Baroda	14.58	0.89	0.48	15.33%	16.34%
4	Kotak Bank	4.89	0.37	0.48	14.02	21.80%
5	SBI	55.16	0.67	0.54	16.53%	14.68%

Total assets in ₹ lakh crore
Data for FY23

Source BT-KPMG Best Banks and NBFCs Survey 2022-23